



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Mrs Gaye Billing

Of

3 Ford Street
IVANHOE VIC 3079

Prepared on:

12th November 2020

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

12/11/2020

Mrs Gaye Billing
3 Ford Street
IVANHOE VIC 3079

Dear Gaye,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation structure
- Structure and ownership of current and future investments
- Structure of potential holiday house purchase and impact on retirement planning
- Overall retirement planning
- Estate planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Gaye, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your superannuation portfolio and determine appropriate strategies moving forward.
- Assess the feasibility of purchasing a holiday house, the most appropriate manner in which to fund this and the associated impact on your retirement capital.
- Receive advice around your existing assets, including assets recently inherited.
- Ensure you have sufficient cash flow in retirement.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mrs
First Name	Gaye
Surname	Billing
Gender	F
Date of Birth	18/08/1954
Age Last Birthday	66

Employment Details

Employment Status	Retired
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Estate Planning

	Gaye
Do you have a Current Will?	Yes
Do you have Current Powers of Attorney?	Yes
Do you have a Testamentary Trust?	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	\$1,600,000
Total Lifestyle Assets	\$1,600,000

Investment Assets		
- Cash		\$400,000
- Impending proceeds from sale of Maryborough property (your late father's property)		\$200,000
- 25% share in Maryborough shop		\$100,000
- Farm (Pomonal)*		Unknown
- <u>Share Portfolio</u>		
1,750 Telstra shares	\$ 4,961	
1,504 Westpac shares	\$26,786	
926 Qantas shares	\$ 4,204	
784 AMP shares	\$ 1,346	
345 McPhersons shares	<u>\$ 769</u>	\$38,066
Total Investment Assets		\$738,066*

Superannuation Assets	
ESSS Accumulation Fund	\$1,137,300
ESSS Defined Benefit Pension 1 (\$2,144 p.a.)	Lifetime Pension
ESSS Defined Benefit Pension 1 (\$13,593 p.a.)	Lifetime Pension
Total Superannuation Assets	\$1,137,300

Total ASSETS	\$3,475,366*
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LIABILITIES

Nil	\$0
Total Liabilities	\$0

NET WORTH	\$3,475,366*
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Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

* The value of the Pomonal farm has not been included in these figures

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that you can be classified as a Balanced investor.

Typically, a **Balanced** investor has the following characteristics:

- The Balanced investor will typically operate a portfolio evenly split between interest bearing securities and growth-oriented investments.
- An exposure to a range of investment sectors including cash, fixed interest, property and shares ensures the portfolio is “truly” balanced.
- Investors are typically comfortable with a variability of their capital over a 5-year horizon while their portfolio builds a growing income stream and capital growth.

A Balanced investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2020-21

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	19c for each \$1 over \$18,200
\$45,001 – \$120,000	\$5,092 plus 32.5c for each \$1 over \$45,000
\$120,001 – \$180,000	\$29,467 plus 37c for each \$1 over \$120,000
\$180,001 and over	\$51,667 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute

Personal Non-Concessional Contributions to Superannuation

Overview:

1. You have recently made the following contributions to your ESS Super fund:
 - \$300,000 2019/20 Financial Year (FY)
 - \$100,000 2020/21 Financial Year (FY)

Issue:

Superannuation members under age 65 at any time in a financial year (which you were in the 2019/20 FY) may effectively bring-forward up to two years' worth of non-concessional cap for that income year, allowing you to contribute a greater amount (i.e. up to \$300,000) without exceeding your non-concessional cap. This is known as the 'bring-forward rule'.

- By contributing \$300,000 in the 2019/20 FY, you triggered the 'bring-forward' rule.
- As such, you are not eligible to make further contributions in the 2020/21 FY or 2021/22 FY.
- By making a \$100,000 contribution in the 2020/21 FY, you have made an excess non-concessional contribution.

Resolution:

- The excess non-concessional contribution (\$100,000), plus 85% of any associated earnings amount, will need to be released from the super fund by the ATO to prevent you paying 47% tax on the excess non-concessional contributions (tax of \$47,000).
- Where the excess non-concessional contribution (plus 85% of an associated earnings amount) is withdrawn from super, it is not subject to the 47% excess non-concessional contribution tax. However, 100% of the associated earnings amount is assessable income of you personally and is taxed at your marginal tax rate in the 2020/21 FY (although a 15% non-refundable tax offset applies to recognise that tax would have been paid on the actual earnings made on the contribution while it was in the super fund).

Superannuation – Pension Phase and Retirement Income Streams

Gaye, current legislation allows you (as you have reached preservation age) to commence an income stream with your superannuation monies. From age 60, all income received from this income stream is tax free.

Once you have commenced an income stream all income earned from the amount funding the income stream is also tax free, as opposed to being taxed at 15% when in accumulation phase. Income that is taxed within the super fund includes distributions and any capital gains realised via the selling of units. It is therefore acceptable to conclude that tax on earnings is not simply 15% of the return rate of your fund each year, but an amount less than this based on what has occurred in the fund.

Recommendations:

- Assuming you use your cash reserves to contribute towards the purchase of a holiday house (see 'Holiday House' section of this Statement of Advice), you will need to draw an income stream from your superannuation monies to satisfy your living expenses.
- It is therefore recommended to convert your superannuation to pension phase.

Reasons:

- By implementing this structure, your superannuation fund will no longer incur 15% tax on earnings within the fund.
- You will receive a regular 'tax free' income stream to satisfy your cash flow needs.

For Consideration:

- The minimum income stream that must be drawn from the Allocated Pension (based on current balance) is:

Age	Under 65	65–74	75–79	80–84	85–89	90–94	95 or over
Reduced percentage factor (2019–20 and 2020–21 financial years)	2%	2.5%	3%	3.5%	4.5%	5.5%	7%
Standard percentage factors (other years)	4%	5%	6%	7%	9%	11%	14%

- In the 2020/21 FY you will be required to draw down 2.5% of the fund balance (pro-rata). This will equate to approximately:
 $\$1,137,300 \times 2.5\% \times 50\%$ (i.e. 50% of the FY) = **\$14,216**
- In the 2021/22 FY you will be required to draw down 5% of the fund balance:
 $\$1,137,300 \times 5\%$ = **\$56,865**

Superannuation Taxable and Tax-free Components

Upon death, all funds in the tax-free component are passed to beneficiaries, including tax non-dependants, tax-free. Any funds passed to tax non-dependants from the taxable component are taxed at 17% (Including Medicare Levy).

Non-concessional (after tax) contributions into the superannuation environment form part of the tax-free component of the fund.

The current taxable components (and subsequent tax payable if paid to non-dependants) for your super fund is as follows:

	Taxable Component	Potential tax payable if paid to non-dependants
Gaye	\$176,743	\$30,046

Superannuation Fund - Gaye

Gaye, you currently have the following approximate superannuation balance:

- ESS Super Accumulation Fund \$1,137,300

Recommendations:

- Convert the ESS Super Accumulation Fund into an Allocated Pension as described on the previous page.
- Invest the Allocated Pension with a 'Balanced' asset allocation in line with your Investor Risk Profile.
- You effectively have two options in terms of how the Allocated Pension is structured:
 - Continue to hold these monies with ESSS and move them to their Retirement Income Stream product; or
 - Roll across these superannuation monies to a more actively managed wholesale 'master trust' Allocated Pension platform.

Investments Within Superannuation

ESS Super – Account Number 25707910

Gaye, you have a superannuation fund with ESS Super. You have historically selected the investment options yourself and have a current allocation as follows:

\$1,036,130	Basic Growth
<u>\$ 101,170</u>	Growth
\$1,137,300	

The asset allocation of the ESSS Basic Growth option is:

Asset Class	% of Portfolio
Australian Shares	25.0%
International Shares	36.5%
Property	18.0%
Multi Assets	2.0%
Fixed Interest	16.0%
Cash	2.5%
	100%

The asset allocation of the ESSS Growth option is:

Asset Class	% of Portfolio
Australian Shares	19.0%
International Shares	24.0%
Property	20.0%
Multi Assets	4.0%
Alternatives	6.5%
Fixed Interest	22.0%
Cash	4.5%
	100%

Current Combined ESS Super Portfolio Profile Compared to ‘Balanced’ Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced Portfolio	Deviation
Australian Shares	24%	34%	-10%
International Shares	35%	20%	+15%
Alternatives	1%	0%	+1%
Property	18%	14%	+4%
Multi Assets	2%	0%	+2%
Fixed Interest	17%	26%	-9%
Cash	3%	6%	-3%

Current ESSS Portfolio Historical Performance at 30/06/20 ^

	% allocation	1 year	3 years (p.a.)	5 years (p.a.)
Basic Growth option	91%	0.39%	6.31%	N/A*
Growth Option	9%	-0.08%	4.78%	5.28%
OVERALL PORTFOLIO	100%	0.35%	6.17%	N/A

^ ESS Super only publish 12 months returns as at 30 June each year, whereas ‘master trust’ superannuation platforms update their rolling 12 month returns each month.

* As the Basic Growth was established on 1 July 2017, only three years’ returns are available.

Option 1 – Continue to hold these monies with ESSS, move them to their Retirement Income Stream product and invest in the ‘Balanced’ option

The asset allocation of the ESS Balanced option is:

Asset Class	% of Portfolio
Australian Shares	14.0%
International Shares	16.5%
Property	18.0%
Multi Assets	7.0%
Alternatives	5.5%
Fixed Interest	29.0%
Cash	10.0%
	100%

ESS Super 'Balanced' Option Historical Performance at 30/06/20 ^

	1 year	3 years (p.a.)	5 years (p.a.)
ESS Super 'Balanced' option	0.35%	4.14%	4.53%

^ ESS Super only publish 12 months returns as at 30 June each year, whereas 'master trust' superannuation platforms update their rolling 12 month returns each month.

Downside:

- The investment options available are very limited
- You will not be invested directly in line with your Investor Risk Profile
- The historical average performance associated with the ESS Super fund is lower than the alternative option detailed below.

Option 2 – Master Trust Platforms (Colonial First State)

Your investments in the Colonial First State platform would have a specifically modelled portfolio directly in line with your 'Balanced' Investor Risk Profile. The specific underlying funds that make up your individual portfolio would be:

Colonial First State Wholesale Allocated Pension – 'Balanced' portfolio

	% of portfolio
CFS Wholesale Aust. Small Companies	14%
Colonial First State Wholesale Index Australian Share	20%
Colonial First State Wholesale Index Global Share	20%
Pendal Wholesale Property Investment (BT)	7%
Colonial First State Wholesale Index Property Securities	7%
Colonial First State Wholesale Index Australian Bond	32%
	100.00%

Planning – Investment Recommendations

Performance of the alternative Colonial First State Balanced Portfolio at 30/09/2020

	% of portfolio	1 year	3 years p.a.	5 years p.a.
CFS Wholesale Aust. Small Companies	14%	1.29%	1.88%	1.81%
Colonial First State Wholesale Index Australian Share	20%	-1.64%	1.05%	1.49%
Colonial First State Wholesale Index Global Share	20%	0.78%	2.00%	1.81%
Pendal Wholesale Property Investment (BT)	7%	-0.70%	0.41%	0.45%
Colonial First State Wholesale Index Property Securities	7%	-1.02%	0.23%	0.34%
Colonial First State Wholesale Index Australian Bond	32%	0.78%	1.54%	1.14%
	100.00%	-0.52%	7.11%	7.03%

Performance of the alternative Colonial First State Balanced Portfolio at 30/06/2020

	% of portfolio	1 year	3 years p.a.	5 years p.a.
CFS Wholesale Aust. Small Companies	14%	0.74%	1.54%	1.57%
Colonial First State Wholesale Index Australian Share	20%	1.18%	1.11%	1.25%
Colonial First State Wholesale Index Global Share	20%	0.97%	1.92%	1.69%
Pendal Wholesale Property Investment (BT)	7%	-1.11%	0.26%	0.35%
Colonial First State Wholesale Index Property Securities	7%	-1.33%	0.12%	0.27%
Colonial First State Wholesale Index Australian Bond	32%	1.07%	1.44%	1.20%
	100.00%	1.52%	6.39%	6.33%

Benefits:

- The alternative portfolio has outperformed the ESSS fund.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Gaye

Type of Fee or Cost	ESS Super	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	<u>Admin. Fee</u> 0.25% p.a. (capped at \$2,060 p.a.) <u>Asset Fee</u> \$52 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	Flat fee – to be discussed
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.42% p.a.	0.55% p.a.
Annual average cost - Total \$1,137,300 investment	\$6,889 p.a.	\$6,255 p.a.

Maryborough Shop

- You currently own a 25% share in a shop in Maryborough.
- Your sister also owns a 25% share and you have two cousins who own 25% each.
- Your share of the rental income is approximately \$450 p.m. (i.e. \$5,400 p.a.)
- The shop is valued at approximately \$400,000 and your 25% share is therefore valued at approximately \$100,000.
- Your rental income therefore equates to an income return of 5.4% p.a.
- You and your sister are considering contributing another \$100,000 each and buying out your cousins. This would give you 50% ownership.

Options and Considerations:

1. Retain 25% ownership.

Benefit:

- This should be considered in light of the appealing income return which assists with your annual cash flow requirements.

Downside:

- You will have a lower capital amount to contribute to a potential holiday house.

2. Contribute \$100,000 to increase your ownership to 50%.

Benefit:

- This will double the income you receive from this investment which will further assist with your annual cash flow requirements.

Downside:

- You will need to reduce your cash reserves by \$100,000 which will subsequently further reduce the capital amount to contribute to a potential holiday house.

3. Sell the shop.

Benefit:

- You will have an additional \$100,000 to contribute towards the purchase of a holiday house.

Downside:

- You will be contributing the sale proceeds to a non-income producing asset (holiday house).

Cash Flow

- You are unsure as to the level of cash flow you require on an annual basis.
- Once COVID restrictions are lifted, you feel you would like \$30,000 p.a. to travel. Additional living costs may equate to another \$30,000. Therefore, you may require annual cash flow of approximately \$60,000.
- Aside from using your cash reserves, your cash flow currently consists of the following:
 - \$ 5,400 rental income from Maryborough shop
 - \$ 2,144 ESSS Defined Benefit Pension 1
 - \$13,593 ESSS Defined Benefit Pension 2
 - \$21,137**
- You may therefore require another **\$39,000** from your retirement capital each year.

Holiday House

- You would ideally like to purchase a Holiday House and you seek advice in terms of how best to fund the purchase of this. You would also like to assess the impact such a purchase would have on your retirement savings.
- You are unsure of the location at this stage or, indeed, how much you may need to spend on the purchase. The purchase price will, however, be less than \$1.0m.
- As you are retired and not earning an income, it is highly unlikely you would be able to secure a bank loan to assist with such a purchase. Therefore, assuming a purchase price of \$900,000 (including stamp duty), your options to fund this purchase are detailed on the following page:

Option 1 – retain 25% share of Maryborough shop

\$400,000	cash reserves
\$200,000	sale of father's Maryborough property
<u>\$300,000</u>	drawn down from your superannuation fund (<i>noting that you will have to draw out the \$100,000 excess non-concessional contribution in any case</i>)
\$900,000	

Option 2 – increase share of Maryborough shop to 50%

\$300,000	cash reserves
\$200,000	sale of father's Maryborough property
<u>\$400,000</u>	drawn down from your superannuation fund (<i>noting that you will have to draw out the \$100,000 excess non-concessional contribution in any case</i>)
\$900,000	

Option 3 – sell Maryborough shop

\$400,000	cash reserves
\$200,000	sale of father's Maryborough property
\$100,000	sale of 25% share of Maryborough shop
<u>\$200,000</u>	drawn down from your superannuation fund (<i>noting that you will have to draw out the \$100,000 excess non-concessional contribution in any case</i>)
\$900,000	

Retirement Capital Projections

Gaye, we also have taken the liberty of providing retirement projections based on these scenarios.

Under each of these scenarios we have calculated your projected capital position based on the following assumptions:

- Capital value of superannuation increases by 6.0% p.a. and 4% p.a.
- Rental return on Maryborough shop remains at 5.4% p.a.
- Cash flow deficit is drawn down from superannuation pension fund each year
- Annual income of \$60,000 required in retirement increasing with CPI at 2.5% p.a.
- Maryborough shop rental income does not increase
- ESSS Defined Benefit pensions increase with CPI of 2.5%

Retirement Projections

Under each of these scenarios we have calculated your projected superannuation capital position in 20 years' time (age 86).

A summary of these projections is detailed in the following tables:

Assuming capital value of superannuation increase as 6% p.a.

Scenario	Value of superannuation capital in 20 years
1	\$902,578
2	\$780,669
3	\$1,024,811

Assuming capital value of superannuation increase as 4% p.a.

Scenario	Value of superannuation capital in 20 years
1	\$366,917
2	\$308,719
3	\$425,340

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

Other Considerations

Monies provided to your son Bryce:

- You have provided a sum of \$200,000 to your son Bryce to assist with the purchase of a property. Your decision may be to simply gift these monies without the intention for him to pay these back to you. Should this be the case, we suggest specific provision be made for this in your Will.

Direct Shares:

- There is no compelling reason to sell any of these shares at this stage. Holding onto them will diversify your overall investment portfolio.

Pomonal Farm:

- You own a 100-acre farm on two titles in Pomonal (near Halls Gap). You stated that you will make a decision on what to do with this property after you have had discussions with your family and this will ultimately be a family decision.

Estate Planning

Although considerable emphasis is placed on wealth creation and protection, a third vital aspect of your financial strategy is the control of the manner in which your wealth will be distributed after your death.

The expression “Estate planning” represents the concept of the planning and documentation of your wishes for the distribution of your wealth following death, whether the assets are held personally or controlled by related entities such as trusts or companies.

Estate planning is a specialised area, and it is important that you obtain professional advice in relation to all areas of your estate plan. However, we outline below some of the issues you should consider in designing your estate plan.

Wills and Testamentary Trusts

A Will is the first step in ensuring that the distribution of your estate is actioned in accordance with your wishes. If you die without a Will (intestate), it may be that a court will control both the manner of distribution of your estate and the persons to whom your estate is distributed, and this can cause unnecessary distress.

You currently have a basic Will in place.

Recommendation:

- **We have an arrangement with Lakeside Lawyers Pty Ltd who can assist with the implementation of an appropriate Will as soon as possible.**

It is important to ensure your Will:

- Nominates executors (and substitute executors) who are likely to survive you and who clearly understand your wishes.
- Nominates beneficiaries in relation to every segment of your estate and nominates alternative beneficiaries should your primary beneficiaries predecease you.
- Bequeaths monetary value or a percentage of your estate rather than a specific asset, as there is the risk that an asset may not be in existence at the time of distribution of the estate.
- Includes provision for the establishment of a testamentary trust, which can be a tax effective tool for distributing your estate.

Benefits:

- Peace of mind, knowing all your wishes are detailed to be carried out, and plans articulated for your immediate family to be adequately provided for in the event of your death.
- If your Will incorporates a testamentary trust, your assets would pass into a discretionary trust (or multiple trusts) and be held for the benefit of your beneficiaries, (rather than directly by them).

- This could be determined on an annual basis having regard to each beneficiary's personal income and taxation circumstances (importantly, income distributed from a testamentary trust to minors is taxed at normal adult marginal tax rates), as well as family circumstances (assets held within a testamentary trust may provide some protection in the event of family breakdown or bankruptcy).

Non-Estate Assets

It is important your estate planning arrangements incorporate your entire asset base.

Recommendation:

- **We recommend you consult an approved legal practitioner. We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.**

Although a Will constitutes a vital part of your estate planning arrangements, not all of your assets are automatically subject to the provisions of a Will. Examples of such 'assets' are as follows:

- Superannuation assets – the Trustee of a superannuation fund is required to distribute your superannuation monies (including any life insurance benefits paid as a result of the death of the member) in accordance with the Trust Deed. You usually have the option of informing the Trustee of your preferences in relation to the distribution of your funds, but this may or may not be binding on the Trustee.
- Jointly held assets – if assets are held as 'joint tenants', then upon the death of one of the owners the asset automatically passes in full to the other owner (no matter what is said in the Will of the deceased co-owner). On the other hand, assets held as 'tenants in common' are able to be disposed of as part of a Will.
- Life insurance policies – depending on the ownership of the policy, benefits can be paid to the following - the deceased's estate and therefore distributed through their Will (when the owner of the policy is also the insured person) - a person who has been nominated as the beneficiary of a policy by the deceased owner (in which
- case the beneficiary automatically receives the proceeds of the policy) - or any third party who owns the policy.
- Assets owned by a Trust – these assets are legally owned by the Trustee of the Trust and therefore are not able to be dealt with through a person's Will.

(Note: In recent times, the use of Trusts as an estate planning vehicle has become wide spread and your solicitor or other business adviser should be consulted if you wish to exercise a measure of control over the way in which Trust assets are managed or distributed. For example, if a company acts as trustee for a Trust, you may retain an interest in the company and therefore the trust by owning shares in that company.)

- Assets owned by a company – only the deceased's shares in the company may be dealt with through their Will.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$3,500+GST, which will be invoiced to you.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700)

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended; however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Retirement Capital Projections
